

Investment Policy Statement: Apex Horizon Growth Fund

Document Ref: AHGF-IPS-2026

Strategy: Growth Equity

Status: Active

1. Fund Overview and Strategic Intent

The Apex Horizon Growth Fund is a closed-end investment vehicle focused on long-term value creation. The fund seeks to invest in scalable enterprises that exhibit durable competitive advantages, operational discipline, and the ability to compound equity value over extended horizons.

The mandate emphasizes growth-focused equity investments, with long-term appreciation prioritized over near-term income generation.

2. Mandatory Quantitative Gating Criteria

All prospective investments must meet or exceed the following requirements at the time of issuing the initial Letter of Intent (LOI):

- **Annual Recurring Revenue (ARR):** Minimum \$35M USD.
- **Operating Efficiency:** A positive EBITDA margin is required.
- **Unit Economics:** Gross Profit Margin above 60%, particularly for recurring-revenue models.
- **Capital Efficiency:** Return on Equity (ROE) greater than 5%.
- **Leverage Constraints:** Debt-to-Equity Ratio below 0.6.
- **Valuation Metrics:**
 - Market Capitalization: Minimum \$600M USD.
 - P/E Ratio: Below 100, adjusted for forward growth.
 - Price-to-Book Ratio: Maximum 20.

3. Qualitative Risk & Governance Framework

A. Market & Competitive Positioning

- Strong positioning within the competitive environment.
- A diversified customer base with any material concentration risks evaluated.

B. Structural & Operational Integrity

- Institutional governance standards and transparent internal controls.
- Assessment of technology, platform, and vendor dependencies.
- Preference for business models with clear performance visibility.

C. Regulatory & Compliance Landscape

- Compliance with relevant industry regulations and legal frameworks.
- Review of potential exposure to litigation, licensing, or regulatory risks.